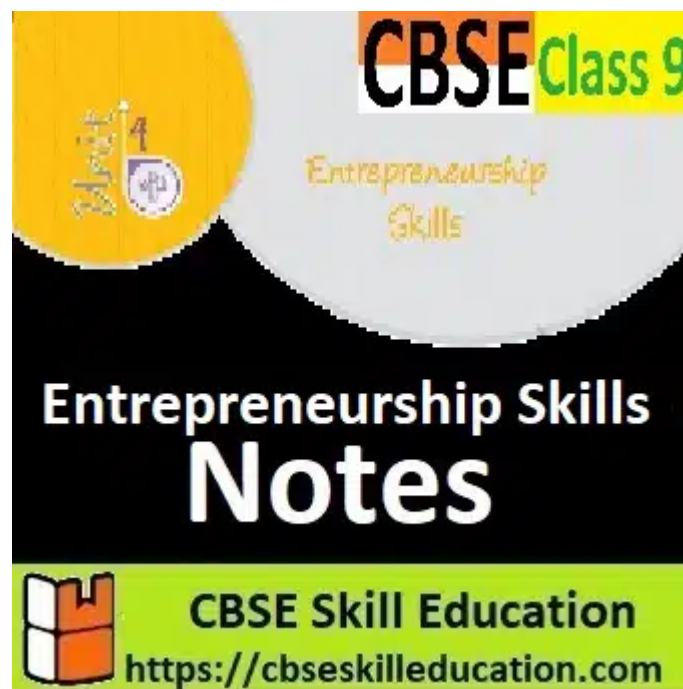


Entrepreneurial Skills Class 9 Notes

PART A - EMPLOYABILITY SKILLS | UNIT 04 ENTREPRENEURIAL SKILLS | NOTES

Source: <https://cbse skilled education.com/entrepreneurial-skills-class-9-notes/>

Entrepreneurial Skills Class 9 Notes are designed to help students understand the basics of entrepreneurship and develop a business mindset from an early stage. In today's competitive world, entrepreneurial skills are important not only for starting a business but also for problem-solving, creativity, and innovation in everyday life.



Session 1: What is Entrepreneurship

Who is entrepreneur?

An entrepreneur is a person who is self-employed, is **willing to take a calculated risk and brings in a new idea to start a business.** **All self-employed persons are not called an entrepreneur**, for example, a shopkeeper cannot be called an entrepreneur unless he/she implements an innovative method or concept into their business.

What is entrepreneurship?

The process of developing a business plan, launching and running a business using innovation to meet customer needs and to make a profit is entrepreneurship.

What is Enterprise?

An enterprise is a project or undertaking that is bold and fulfills a need of the society which no one has ever addressed. This business is started and run by an entrepreneur.

Session 2: Role of entrepreneurship

Role of entrepreneurship

- **Economic Development (Money in Circulation)** – As entrepreneurs grow their businesses, invest the money into the businesses, and expect good returns.
- **Social Development (Creation of Jobs)** – If the business grows, then more work will be there, which creates more jobs.
- **Improved Standard of Living (More things available to live a comfortable life)** – When entrepreneurs sell products like a mobile phone or a mobile service, it will help people have a comfortable life.
- **Optimal Use of Resources** – Entrepreneurs find the most optimal ways of using the resources to reduce costs and increase the profits.

Session 3: Qualities of a successful entrepreneur

Qualities of a successful entrepreneur are:

- **Patience** – Success may not be achieved quickly, so it is important that an entrepreneur be patient in running their business.
- **Positivity** – An entrepreneur has to think positively even when he/she takes a big risk.
- **Hardworking, Never Giving Up and Perseverance** – An entrepreneur never gives up; they need to work hard and try to make the business successful.
- **Confidence** – An entrepreneur needs to be very confident and take decisions about their business.
- **Open to Trial and Error** – Entrepreneurs have to use trial and error with different innovative ideas to make the business successful.
- **Creativity and Innovation** – An entrepreneur should be able to identify the problem and come up with original and creative solutions.

Session 4: Distinguishing characteristics of Entrepreneurship and wage employment

Characteristics of Entrepreneurship

Some of the distinguishing characteristics of entrepreneurship:

- Ability to take up risks
- Believe in hard work and discipline
- Adaptable and flexible to achieve the goals of enhancing quality and customer satisfaction
- Knowledge of the product and services and their need or demand in the market
- Money management skills and financial literacy
- Effective planning and execution.

What is wage Employment?

Wage employment is a paid job where an employee agrees to work for an employer. There are two parties in the wage employment; one is known as the employer, and the other is known as the employee. The employee (wage employment) does not involve too much risk, but the employer (entrepreneurship) involves taking a certain number of calculated risks in the business.

Benefits of entrepreneurship

The various benefits include the following:

- **Do what you are interested in:** Using your interests and abilities, entrepreneurship allows you to start doing something you like using your skills and hobbies.
- **Work for yourself, and not for others:** You can work for yourself as an entrepreneur, not for someone else. You can decide the work you like to do or not.
- **Make profits for yourself:** As an entrepreneur, it depends on the entrepreneur how much money you want to earn and how you want to earn it.
- **More risk, more profit:** Depending on the risks involved, entrepreneurship gives you the freedom to choose how much risk you are willing to take.

Session 5: Types of Business Activities

Types of business activities

There are three types of business activities:

- **Product business** – Product-based businesses are those in which a customer and seller trade tangible goods. For example, a sports store.
- **Service business** – a company where the seller helps a customer in completing tasks. For example, a cricket coaching center.
- **Hybrid business** – A hybrid business is one that offers both services and products for sale. For example, rahul opened a sports academy for coaching and selling sports equipment.

Session 6: Product, Service and Hybrid business

The key differences between product and service are:

Product Business	Service Business
Product can be seen and touched.	Service cannot be seen or touched.
A product can be made and stored in a shop or a warehouse (usually).	A service, for example, cutting hair, cannot be stored. Service is provided when a customer asks for it.
A product can be either made at home or in a factory.	A service cannot be made or transported.
The quality and quantity of the product will be the same every time.	The quality and quantity of a service can be different at different times.

Types of product-based business:

There are two types of product-based businesses:

- **Manufacturing businesses** – These are the businesses that make a product and sell it.
- **Trade businesses** – These businesses buy and sell a product. They also transport the product from the factory to warehouses and then finally to shops near the customers.

Session 7: Entrepreneurship Development Process

The process of enhancing entrepreneurs' abilities and expertise is known as entrepreneurship development.

Steps of starting a business

Idea	The first step is to come up with a business idea. A business idea could be based on (a) Something you are interested in doing (For example, making Dosa) (b) A need you see in the market (For example, Tasty food next to the station)
Getting money and material	Once you have the idea, you can start on a small scale with some money which will help you in buying basic material.
Understanding customer needs	Once you start selling, you will find out what your customer likes and wants. You will also find out what your customer does not like during this stage.
Improving Product/ service	You can use this knowledge of what your customer likes and does not like to improve your product. (For example, Prem's customers liked variety)